

Dongfang Electric

Underperform

One-off support masks order weakness

Key Points

- 1Q26 NP of Rmb1.6bn (+37% YoY) was driven mostly by fair value gains in its equity investment. 1Q26 core NP was Rmb1.2bn (+11.5% YoY).
- Total orders on hand fell 8% YoY to Rmb140.3bn at end-2025, with order coverage ratio down to 1.78x at end-2025 (from 2.19x at end-2024).
- Maintain Underperform. We think a policy shift away from coal could weaken medium-term order intake and earnings visibility.

- In-line 1Q26.** Dongfeng Electric (DF) reported 1Q26 revenue of Rmb17.5bn (+5.6% YoY). GPM edged up 0.4ppt YoY to 18.3%. Reported NP +37% YoY to Rmb1.6bn, driven by fair value gains on equity investments; core NP rose a more modest 11.5% YoY to Rmb1.2bn. OCF outflow narrowed to Rmb2.7bn in 1Q26 (vs Rmb3.3bn in 1Q25).
- Margin support masks weaker orders.** GPM expansion and core NP growth were partly driven by lower opex, notably a cut in offshore wind warranty provisions to 4% from 6%. However, order momentum softened, with backlog down 8% YoY to Rmb140.3bn as of end-2025, while order coverage declined to 1.78x (from 2.19x at end-2024).
- Overseas growth less clean than headline suggests.** New overseas orders reached Rmb14bn (12% of total), while ex-China revenue rose to Rmb5.2bn (7% of total); both were up YoY. DF also secured three 50MW G50 gas turbine orders in Kazakhstan, though channel checks suggest the win was driven by a Chinese owner at aggressive pricing, rather than a clean third-party overseas breakthrough.
- Medium-term visibility weakening.** Policy signals under the 15th Five-Year Plan point to coal-fired power shifting from an “anchor” to a balancing role. This implies softer medium-term order momentum and weaker earnings visibility, given coal remains DF Electric’s dominant revenue source. We think a [recent policy initiative](#) to step up carbon enforcement could further weigh on coal consumption.

Earnings changes: We cut our 2026E/27E/28E net profits by 12%/28%/41% to include 2025 actuals, as well as lower revenue/GPM forecasts for coal power equipment and gas turbines.

Valuation: Cut H-share TP by 10% to HK\$17.13, from K\$19.00. Our 12x 2026E P/E target multiple is unchanged.

Catalysts: Fewer coal power plant approvals.

Investment Thesis and Recommendation

Underperform. Policy support is shifting away from coal towards ESS, undermining medium-term order and earnings visibility. Meanwhile, the company’s limited gas-turbine track record is unlikely to translate into meaningful international order wins. [Prior Dongfeng Electric research.](#)

Capital Goods Hong Kong



Albert
Miao



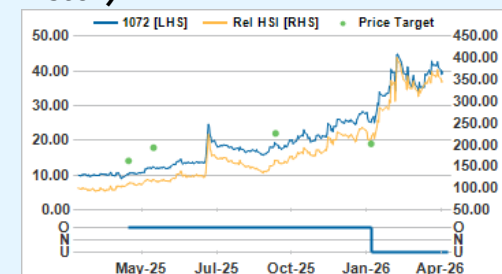
Richard
Feng

1072 HK	Underperform
Price (at 29 Apr 2026)	HK\$39.82
12-month target	HK\$17.13
12-month TSR (%)	(55.3)
Volatility Index	High
Market Cap (Local) (m)	155,964
Market Cap (USD) (m)	19,901
Free Float (%)	53
30-day avg turnover (USD) (m)	56.0

Investment Fundamentals

Year end 31 Dec	2025A	2026E	2027E	2028E
Revenue (m)	78,615	83,952	84,866	79,640
Revenue growth (%)	12.8	6.8	1.1	(6.2)
EBIT (m)	5,021	4,542	4,181	3,431
EBIT growth (%)	64.1	(9.5)	(8.0)	(17.9)
Reported profit (m)	3,831	4,562	4,435	3,821
Adjusted profit (m)	3,831	4,562	4,435	3,821
EPS rep [CNY]	1.2	1.3	1.3	1.1
EPS rep growth (%)	25.1	12.6	(2.8)	(13.8)
EPS adj [CNY]	1.2	1.3	1.3	1.1
EPS adj growth (%)	25.7	12.1	(2.8)	(13.8)
Net debt/equity (%)	(4.1)	12.2	6.6	2.7
ROA (%)	3.3	2.8	2.6	2.1
ROE (%)	9.1	9.8	9.0	7.4
PER rep (x)	29.6	26.3	27.1	31.4
PER adj (x)	29.5	26.3	27.1	31.4
EV/EBITDA (x)	19.3	20.6	22.1	25.7
P/BV (x)	2.7	2.5	2.4	2.3
Total div yield (%)	1.5	1.7	1.6	1.4
Quant (rank vs. global sector)	613 / 2,730			

1072 HK rel HSI performance, & rec history



Source: FactSet, Macquarie Research, Apr 2026 (all figures in CNY unless noted, TP in HKD)

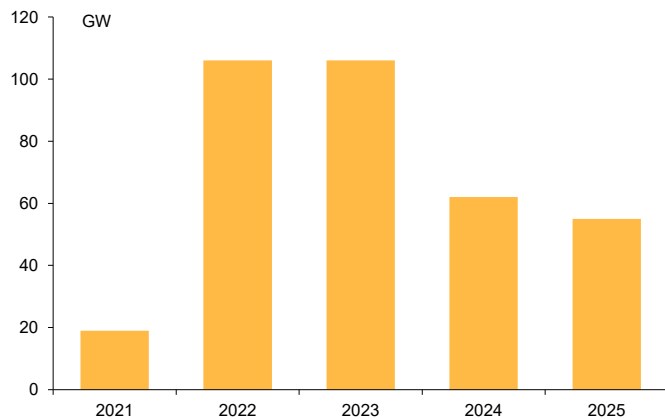
Key Risks to Investment Thesis

- China power demand drop due to tariff risk.
- SOE anti-corruption
- Dividend payout put post three-year guidance.

Company Description

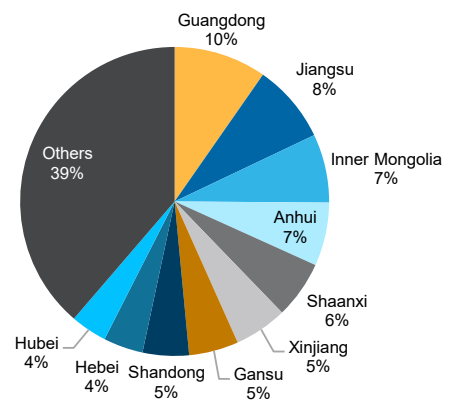
Dongfang Electric is a power equipment and services company. The company offers services as an energy and electromechanical equipment system integrator, service provider, and engineering contractor. DEC is headquartered in Chengdu, Sichuan, China.

Figure 1 - China approved 350GW new coal power capacity during the 14th FYP



Source: NEA, Company data, Macquarie Research, Apr 2026

Figure 2 - 2021-2025Q1 China coal power project approval top5 provinces



Source: Company data, Macquarie Research, Apr 2026

Dongfang Electric (1072 HK) CNY/(m) unless otherwise noted

Income Statement	Dec FY	2025A	2026E	2027E	2028E	Q4/25A	Q1/26E	Balance Sheet	2025A	2026E	2027E	2028E
Revenue		78,615	83,952	84,866	79,640	23,094	20,978	Cash	22,680	20,253	22,913	24,980
Cost of Goods Sold		65,241	70,175	71,435	67,529	18,898	16,566	Receivables	19,743	19,007	19,214	18,031
Gross Profit		13,375	13,777	13,431	12,111	4,196	4,413	Inventories	26,171	21,800	22,191	20,978
EBITDA		6,117	5,724	5,357	4,594	1,195	2,401	Investments	31,443	31,443	31,443	31,443
Depreciation		816.6	890.0	925.8	949.8	204.1	222.5	Fixed Assets	8,152	8,479	8,699	8,784
Amortisation		279.9	292.3	249.8	213.5	70.0	73.1	Intangibles	2,011	1,718	1,468	1,255
EBIT		5,021	4,542	4,181	3,431	920.6	2,105	Other Assets	52,475	54,802	55,134	53,237
Net Interest Income		(117.7)	(27.1)	85.5	48.9	(70.3)	(6.8)	Total Assets	162,674	157,502	161,062	158,707
Associates		0.0	0.0	0.0	0.0	0.0	0.0	Payables	28,010	25,796	26,259	24,823
Exceptionals		0.0	0.0	0.0	0.0	0.0	0.0	Short Term Debt	15,794	15,794	15,794	15,794
Forex Gains / Losses		0.0	0.0	0.0	0.0	0.0	0.0	Long Term Debt	4,915	10,678	10,678	10,678
Other Pre-Tax Income		(118.2)	1,120	1,192	1,208	209.6	216.8	Other Liabilities	65,787	54,186	54,697	51,776
Pre-Tax Profit		4,785	5,635	5,458	4,687	1,060	2,315	Total Liabilities	114,506	106,453	107,427	103,071
Tax Expense		(819.2)	(921.4)	(878.8)	(744.1)	(195.7)	(396.3)	Shareholders' Funds	45,235	47,963	50,406	52,285
Net Profit		3,966	4,713	4,579	3,943	864.2	1,919	Minority Interests	2,934	3,085	3,230	3,352
Minority Interests		(134.7)	(151.5)	(144.5)	(122.3)	0.7	(65.2)	Other	0.0	0.0	0.0	0.0
Reported Earnings		3,831	4,562	4,435	3,821	864.9	1,854	Total S/H Equity	48,168	51,049	53,635	55,637
Adjusted Earnings		3,831	4,562	4,435	3,821	864.9	1,854	Total Liab & S/H Funds	162,674	157,502	161,062	158,707
Basic Shares Outstanding		3,458.4	3,458.4	3,458.4	3,458.4	3,458	3,458	Net Debt / Equity (%)	(4.1)	12.2	6.6	2.7
Diluted Shares Outstanding		3,270.3	3,458.4	3,458.4	3,458.4	3,458	3,458	Interest Cover (x)	42.7	167.7	NM	NM
EPS (rep) [CNY]		1.2	1.3	1.3	1.1	0.3	0.5	ROE (%)	9.1	9.8	9.0	7.4
EPS (adj) [CNY]		1.2	1.3	1.3	1.1	0.3	0.5	ROA (%)	3.3	2.8	2.6	2.1
Total DPS [CNY]		0.5	0.6	0.6	0.5	0.5	0.0	ROIC (%)	12.0	8.2	6.1	5.0
Ratio		2025A	2026E	2027E	2028E			Cash Flow Analysis	2025A	2026E	2027E	2028E
Revenue Growth (%)		12.8	6.8	1.1	(6.2)	-	-	EBITDA	6,117	5,724	5,357	4,594
EBITDA Growth (%)		46.6	(6.4)	(6.4)	(14.2)	-	-	Tax Paid	(819.2)	(921.4)	(878.8)	(744.1)
EBIT Growth (%)		64.1	(9.5)	(8.0)	(17.9)	-	-	Chgs in Working Cap	16,264	(11,035)	43.8	(62.5)
EPS Growth (adj) (%)		25.7	12.1	(2.8)	(13.8)	-	-	Net Interest Paid	(117.7)	(27.1)	85.5	48.9
Gross Profit Margin (%)		17.0	16.4	15.8	15.2	-	-	Other	(14,206)	1,120	1,192	1,208
EBITDA Margin (%)		7.8	6.8	6.3	5.8	-	-	Operating Cashflow	7,239	(5,139)	5,799	5,044
EBIT Margin (%)		6.4	5.4	4.9	4.3	-	-	Acquisitions	0.0	0.0	0.0	0.0
Net Profit Margin (%)		4.9	5.4	5.2	4.8	-	-	Capex	(1,572)	(1,217)	(1,146)	(1,035)
Payout Ratio (%)		45.1	43.7	43.8	43.0	-	-	Other	(7,549)	0.0	0.0	0.0
PE (rep) (x)		29.6	26.3	27.1	31.4	-	-	Investing Cashflow	(9,122)	(1,217)	(1,146)	(1,035)
PE (adj) (x)		29.5	26.3	27.1	31.4	-	-	Dividend (Ordinary)	(1,807)	(1,833)	(1,993)	(1,942)
EV/EBITDA (x)		19.3	20.6	22.1	25.7	-	-	Equity Raised	0.0	0.0	0.0	0.0
EV/EBIT (x)		23.5	26.0	28.3	34.4	-	-	Debt Movements	0.0	5,763	0.0	0.0
Price/Book (x)		2.7	2.5	2.4	2.3	-	-	Other	4,671	0.0	0.0	0.0
Total Div Yield (%)		1.5	1.7	1.6	1.4	-	-	Financing Cashflow	2,864	3,930	(1,993)	(1,942)
								Net Chg in Cash/Debt	976.7	(2,427)	2,660	2,067
								Free Cashflow	5,666	(6,357)	4,653	4,009

Source: Company data, Macquarie Research Apr 2026

Estimate changes

- We lower our 2026E/27E/28E revenue by 0%/5%/15%, driven by higher hydro equipment and wind turbine revenue assumptions, offset partially by lower gas turbine and coal power equipment revenue forecasts.
- We reduce our wind turbine segment GPM estimates slightly, but lift our nuclear equipment segment GPM estimates to account for 2025 actuals. We thus lower our 2026E/27E/28E gross profit 11%/21%/33%.
- Overall, we cut our 2026E/27E/28E net profit by 12%/28%/41% to account for the above changes.

Figure 3 - Dongfeng Electric: Estimate revisions

RMB mn	New			Old			% change		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenue	83,952	84,866	79,640	84,138	89,573	93,913	0%	-5%	-15%
Thermal equipment	21,357	20,289	14,202	20,709	22,573	23,702	3%	-10%	-40%
Nuclear equipment	6,270	6,458	6,587	7,784	8,796	9,763	-19%	-27%	-33%
Gas turbine	6,160	6,468	6,791	9,983	10,482	11,006	-38%	-38%	-38%
Hydro equipment	4,485	4,844	5,328	3,706	4,077	4,485	21%	19%	19%
Wind turbine	20,930	22,395	22,619	16,258	17,559	18,436	29%	28%	23%
Gross profit	13,777	13,431	12,111	15,439	17,000	18,204	-11%	-21%	-33%
GPM	16%	16%	15%	18%	19%	19%			
Thermal equipment	4,485	4,159	2,698	4,349	5,079	5,451	3%	-18%	-50%
Nuclear equipment	1,511	1,563	1,601	1,823	2,069	2,306	-17%	-24%	-31%
Gas turbine	748	786	825	1,213	1,273	1,337	-38%	-38%	-38%
Hydro equipment	849	917	1,009	702	772	849	21%	19%	19%
Wind turbine	1,256	1,120	1,131	1,138	1,405	1,659	10%	-20%	-32%
EBIT	4,542	4,181	3,431	6,183	7,237	7,968	-27%	-42%	-57%
Net profit	4,309	4,108	3,478	4,908	5,691	5,922	-12%	-28%	-41%

Source: Company data, Macquarie Research, April 2026

Key Quant Findings

The quant model currently holds a reasonably positive view on Dongfang Electric. The strongest style exposure is Price Momentum, indicating this stock has had strong medium to long term returns which often persist into the future. The weakest style exposure is Profitability, indicating this stock is not efficiently converting investments to earnings; proxied by ratios like ROE or ROA.

Macquarie Alpha Model: Key rankings

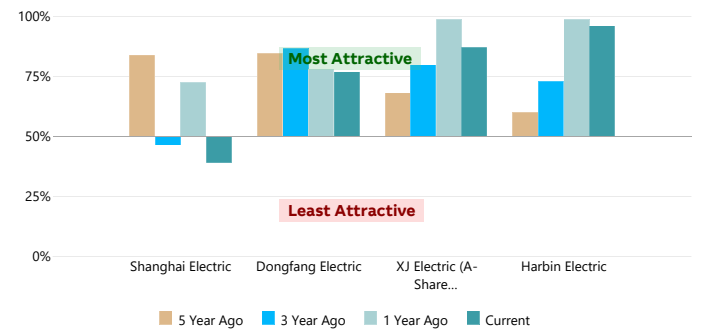
The Macquarie Quant’s flagship Alpha model is a dynamic multi-factor model based on a staple of quant factors such as value, momentum, revisions, quality, and risk.

	Global	Market (Country)	Sector
	Whole Universe	China	Capital Goods
Macquarie Alpha Model	4848/17998	72/313	613/2730
Fundamental (Consensus) *	2903/17998	79/313	429/2730

* based on Total Shareholder Return = Consensus Price target / Current Price

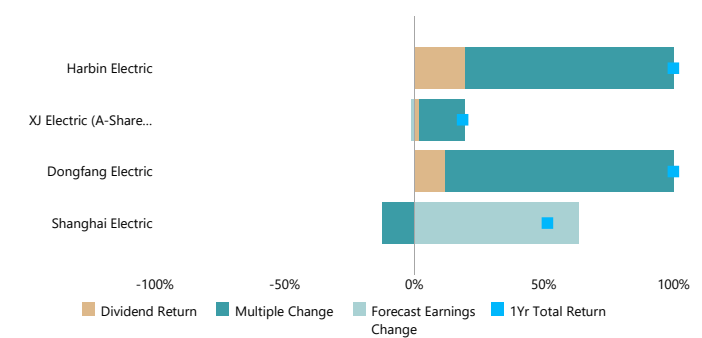
Current and Historical Alpha Model Rank

The chart shows the Macquarie Alpha model market ranking against the company’s peers and over recent history.



Drivers of Stock Return

Breakdown of 1-year total return (local currency) into returns from dividends, changes in forward earnings estimates and the resulting change in earnings multiple.



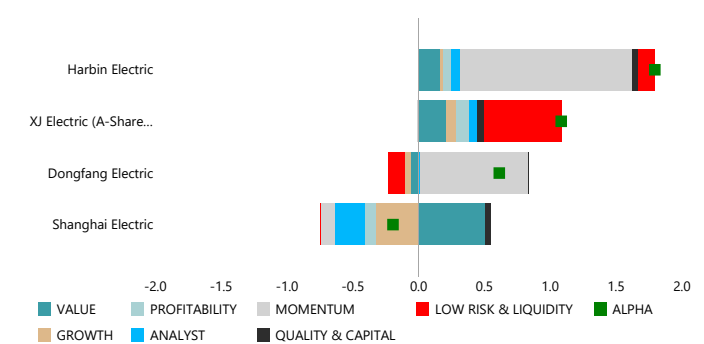
Alpha Model Decomposition

The Macquarie Alpha is decomposed into its sector and market relative factor & styles exposures (a higher/better percentile is coded in green, whilst lower in red).

Factors / Styles	Percentile relative to		Core factors in definition
	sectors (/2730)	market (/313)	
ALPHA	78%	77%	Built from the styles below
VALUE	52%	51%	Book, CF, Yield, Earnings Multiples
ANALYST	84%	84%	Revisions (Earnings, Recommendations)
MOMENTUM	100%	98%	Price Momentum
GROWTH	45%	36%	EPS, Sales (Forecast, Historic)
PROFITABILITY	41%	44%	ROE, Margin, Asset Turnover
QUALITY	23%	45%	Accruals, Earn Stability, Cash Conversion
CAPITAL	72%	54%	Investment/Capex, Net share issuance
LIQUIDITY	77%	89%	Size, Turnover, Analyst Coverage
LOW RISK	5%	18%	Beta, Volatility, Earn.Cert, Leverage
TECHNICAL	76%	65%	MACD, RSI, Bollinger, Williams R, etc

Factors driving the Alpha Model vs peers

For the comparable firms this chart shows the key underlying styles and their contribution to the current overall raw Alpha score.



Macquarie Style Returns over last year

Recent performance to Macquarie style factors

	Monthly Factor Long-Short Returns for												Last 5 Years (ann)	Last 10 Years (ann)
	Mar - 26	Feb - 26	Jan - 26	Dec - 25	Nov - 25	Oct - 25	Sep - 25	Aug - 25	Jul - 25	Jun - 25	May - 25	Apr - 25		
Asia Ex JP														
ALPHA	4%	0%	0%	3%	3%	2%	-3%	-6%	-7%	-1%	1%	0%	0%	0%
VALUE	6%	0%	-2%	3%	5%	4%	-4%	-4%	-3%	2%	4%	-2%	0%	0%
ANALYST	-2%	0%	6%	5%	-2%	3%	4%	1%	-3%	4%	0%	-1%	0%	0%
MOMENTUM	-4%	5%	8%	6%	-1%	-2%	0%	-6%	-6%	-2%	2%	0%	0%	0%
GROWTH	-4%	-1%	4%	2%	-2%	0%	5%	8%	0%	1%	0%	-1%	0%	0%
PROFITABILITY	3%	0%	-4%	1%	3%	0%	-4%	-2%	-6%	1%	3%	1%	0%	0%
QUALITY	2%	-1%	-4%	-1%	1%	-4%	-6%	1%	-3%	-4%	0%	1%	0%	0%
CAPITAL	2%	-2%	2%	-1%	3%	-3%	-1%	-2%	-1%	-1%	0%	0%	0%	0%
LIQUIDITY	-1%	3%	1%	2%	-1%	-1%	3%	3%	-2%	1%	2%	0%	0%	0%
LOW RISK	6%	-2%	-8%	-2%	5%	1%	-6%	-11%	-9%	-5%	-1%	4%	0%	0%

Source (all charts): FactSet, Refinitiv, and Macquarie Quant. For more details on the Macquarie Alpha model or for more customised analysis and screens, please contact the Macquarie Global Quantitative Team: maccaperequitiesresearchquantglobal@macquarie.com. Explanation for items on this page can be found at <https://www.macquarieinsights.com/rp/d/r/p/OTUyMzg1>

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Important Disclosures

Recommendation definitions	Volatility index definition	Financial definitions
Macquarie – Asia and USA Outperform – expected return >10% Neutral – expected return from -10% to +10% Underperform – expected return <-10% Macquarie – Australia/New Zealand Outperform – expected return >10% Neutral – expected return from 0% to 10% Underperform – expected return <0% During periods of share price volatility, recommendations and target prices may occasionally and temporarily be inconsistent with the above definitions. Recommendations – 12 months 12-month target – Expected share price in 12 months Valuation – The company's estimated fair value share price based on the disclosed valuation methodology Note: Quant recommendations may differ from Fundamental Analyst recommendations	This is calculated from the volatility of historical price movements. Very high – highest risk – Stock should be expected to move up or down 60-100% in a year – investors should be aware this stock is highly speculative. High – stock should be expected to move up or down at least 40-60% in a year – investors should be aware this stock could be speculative. Medium – stock should be expected to move up or down at least 25-40% in a year. Low – stock should be expected to move up or down at least 15-25% in a year. * Applicable to select stocks in Asia/Australia/NZ Note: expected return is reflective of a Medium Volatility stock and should be assumed to adjust proportionately with volatility risk	All "Adjusted" data items have had the following adjustments made: Added back: goodwill amortisation, provision for catastrophe reserves, IFRS derivatives & hedging, IFRS impairments & IFRS interest expense Excluded: non recurring items, asset revals, property revals, appraisal value uplift, preference dividends & minority interests EPS = adjusted net profit / efpowa* ROA = adjusted ebit / average total assets ROA Banks/Insurance = adjusted net profit /average total assets ROE = adjusted net profit / average shareholders funds Gross cashflow = adjusted net profit + depreciation *equivalent fully paid ordinary weighted average number of shares All Reported numbers for Australian/NZ listed stocks are modelled under IFRS (International Financial Reporting Standards).

Recommendation proportions for quarter ending 31 Mar 2026

	AU/NZ	Asia	USA	
Outperform	66.90%	69.32%	67.14%	(for global coverage by Macquarie, 1.93% of stocks followed are investment banking clients)
Neutral	27.18%	17.21%	32.86%	(for global coverage by Macquarie, 0.40% of stocks followed are investment banking clients)
Underperform	5.92%	13.47%	0.00%	(for global coverage by Macquarie, 0.00% of stocks followed are investment banking clients)

Company-Specific Disclosures

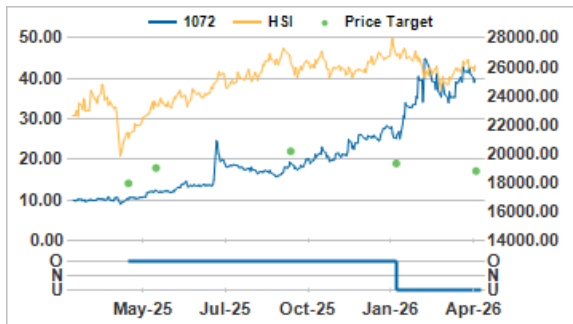
Company Name	Disclosure
Dongfang Electric (1072 HK) Underperform 12-month target: HK\$17.13 - PER Valuation: HKD 17.13 - PER Price: HK\$39.82	Macquarie Group Limited together with its affiliates beneficially owns 1% or more of the equity securities of Dongfang Electric Corp Ltd. Macquarie Capital Limited makes a market in the securities of Dongfang Electric Corp Ltd.

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Recommendation history

Company name	Date	Recommendation	Target price
Dongfang Electric (1072 HK)	30-Apr-2026	Underperform	HKD 17.13
	2-Feb-2026	Underperform	HKD 19.00
	10-Oct-2025	Outperform	HKD 22.00
	16-May-2025	Outperform	HKD 17.90



16-Apr-2025

Outperform

HKD 14.10

Sensitivity analysis:

Clients receiving this report can request access to a model which allows for further in-depth analysis of the assumptions used, and recommendations made, by the author relating to the subject companies covered. Contact <https://www.macquarieinsights.com/contacts> for access requests.

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